SCOTCH, SILK 'N SAPPHIRE

For India, the significant export gains lie in textiles, gems and jewellery, and pharmaceuticals—all sectors with high employment intensity. Under the agreement, tariffs of up to 10 per cent on Indian apparel and 8 per cent on footwear will be gradually eliminated over five years. The UK, on its part, has secured improved access to India's rapidly growing premium alcohol market, with duties on Scotch whisky—currently at a steep 150 per cent—set to be halved over three years.

But in days marked by unwelcoming signals from the US, the real breakthrough perhaps lies in services. The FTA facilitates easier mobility for Indian professionals across sectors—particularly IT, healthcare and finance—through a streamlined visa regime and mutual recognition of qualifications. The UK has also committed to easing regulatory barriers for Indian fintech and digital start-ups looking to expand Europe-wards.

In return, India has agreed to reduce tariffs and open up selected segments in automobiles, clean tech and legal services, albeit cautiously. British car makers like Jaguar Land Rover (owned by India's Tata Motors) will benefit from lower import duties on luxury vehicles, though the sensitive issue of complete liberalisation remains off the table—for now.

Trade expert Abhijit Das notes the total silence on sensitive topics like patents, norms for state procurement, industrial subsidies, plus gender- and environment-related clauses, "although we've opened up future sectors". Another trade economist sees positives, saying: "Unlike past FTAs, this one has been approached with pragmatic optimism on both sides. There is no false romanticism, but a hard-nosed realism about what works."

BILATERAL BOOST

How India and the UK stand to benefit from the Free Trade Agreement

INDIA GAINS

- **Exports like textiles, jewellery, machinery, sports goods, leather, footwear, ceramics and furniture will face zero tariffs in the UK**
- **Easier entry for contractual service suppliers, business visitors, intra-corporate transferees and independent professionals; the UK won't tighten visa rules for IT, finance and education sectors**
- **Indian professionals will benefit from tax exemptions on UK social security contributions (up to 3 years), and reduced tax rates, potentially saving up to 20% of salaries**

UK GAINS

- **Import duty on Scotch whisky and gin to be halved from 150% to 75% immediately, and reduced further to 40% over time**
- **Duties on premium British automobiles (currently over 100%) to drop to 10%, with a quota limit on volume**
- **The deal provides UK firms a foothold in one of the world's fastest-growing economies, with improved rules for services and digital trade**

Some of the drama in the plot also owes to the touch of menace the geopolitical backdrop holds for all regimes globally. Tossed into a grey zone by the tariff era, the Starmer government is struggling to tamp down on inflation. Post-Brexit fatigue hasn't fully ebbed either. So, the FTA offers a rare window for a 'Global Britain' to take the stage again. For the Modi government, it fits neatly into its broader narrative of 'Viksit Bharat', where economic diplomacy is not just about trade balances but about strategic signalling. "India is telling the world it's open for business—but on its own terms," says Ashwani Mahajan, national co-convenor, Swadeshi Jagran Manch, the RSS affiliate that's been closely monitoring India's FTAs with the EU, the UK and other countries, and lobbying hard for the interests of the domestic players.

A HEDGE AGAINST CHINA

With China as assertive in the geo-economic sphere as it is on the Indo-Pacific, both India and the UK are recalibrating their global alignments. For London, India is a desirable counterweight that eases dependence on China. For India, deepening ties with G7 economies is part of a larger hedging strategy that includes footprints in the Quad and fora like I2U2 (India, Israel, UAE, US), India-Middle East Europe Economic Corridor and EU India Trade and Technology Council.

The deal is also being seen as a template for the ongoing FTA talks with the EU, Canada, Saudi Arabia and Bahrain. Having entered these waters, navigation skills will be key: history shows that FTAs often suffer from underutilisation as well as compliance delays. ■